

Division 296 Cost Base Reset Model

Adviser Edition · v3.4.0 · Built 2026-06-22 · For SMSF advisers who don't use CLASS Super.

INPUTS
you edit

ANALYSER
auto

COMPARISON
auto + print
NOTES
reference

Quick Start

Three steps. Five minutes. One headline number.

1

Inputs → Members.

Type each member's TSB into column B (rows 7–10). Split %, \$3m–\$10m band, and above-\$10m band derive automatically.

2

Inputs → Asset register.

For each CGT asset held at 30 June 2026: original cost base (C), market value at 30 Jun 2026 (E), projected sale proceeds (G), held > 12 months (I). Column H is locked — don't edit.

3

Comparison tab.

Read the three headline cards: If no reset · If elected · Net effect. Negative net effect (green) = the reset saves Division 296 tax.

Where the answer lives

Comparison tab → Headline cards. Three numbers: total Div 296 tax under each scenario plus the signed net effect. Negative (green) = reset saves tax. Positive (red) = 'reset trap' on unrealised-loss assets.

Two safety banners on Inputs

Red — formulas in the register. You used Ctrl+V. Press Ctrl+Z, re-paste as Paste-Special > Values.

Red — proceeds without 30 Jun 2026 value. Rows with column G filled but column E blank are silently excluded. Fill column E, or clear column G.

Inputs reference

Column-level reference for the only tab whose numbers flow to tax calcs. Everything else in the workbook reads from here.

Section 1 — Members (rows 6–12)

Up to four members. Edit columns A (label) and B (TSB, dollars). Three derived columns are read-only:

- **Split %** — $\text{TSB} \div \text{total fund TSB}$.
- **Band 1 (3m–10m)** — $\text{MAX}(0, \text{MIN}(\text{TSB}, \$10\text{m}) - \$3\text{m}) \div \text{TSB}$. Taxed at 15%.
- **Band 2 (> 10m)** — $\text{MAX}(0, \text{TSB} - \$10\text{m}) \div \text{TSB}$. Taxed at 25%.

Traffic-light banner above the table reads green (no Div 296), amber (\$3m–\$10m), or deep amber (above \$10m).

Section 2 — Asset register (rows 15–65, 50 rows)

Col	Header	Notes
A	Asset code	Short identifier. Free text.
B	Asset name	Plain description.
C	Original cost base	Pre-reset basis — used for ordinary CGT regardless of reset.
D	Current market value	Context only; not used in tax calcs.
E	Market value at 30 Jun 2026	Load-bearing. Div 296 cost base under the reset scenario.
F	Valuation source / date	Free text; mirrored to Notes valuation log.
G	Projected sale proceeds	Blank = row excluded from totals (amber tripwire fires).
H	Projected gain/loss	Locked formula. Do not edit.
I	Held > 12 months?	Yes/No dropdown. Drives 1/3 CGT discount (s115-100).

Section 3 — Advanced assumptions (rows 67–75)

Eight named-range cells. Touch only if the ATO publishes a change. Defaults match the enacted law:

- `rate_tier1` = 15% (slice \$3m–\$10m). `rate_tier2` = 25% (slice above \$10m).
- `threshold_1` = \$3,000,000 · `threshold_2` = \$10,000,000.
- `discount_rate` = 1/3 (s115-100 ITAA 1997). `fund_cgt_rate` = 15% (accumulation).
- `indexation_increment_1` / `_2` — forward-modelling only, not applied to Year 1.

Reading the Analyser

Fund summary (rows 6–13)

Side by side: If no reset · If elected · Difference. Bottom row ('Total Div 296 tax') is the headline. Signed Difference: negative (green) = reset saves tax; positive (red) = reset costs more tax.

Per-asset analysis (rows 15–67)

Always reflects the elected-reset scenario. Most-read columns:

- **K — Div 296 tax** — Authoritative per-asset Div 296 tax (pro-rata of the elected-reset headline).
- **L — Reset impact** — Signed delta. Negative = reset reduces this asset's burden. Positive = reset-trap candidate.
- **E, G — Ord gross gain / Ord CGT (info only)** — Greyed. Do NOT sum to fund Ord CGT — s102-5 capital-loss netting happens at fund level. Read the Reconciliation panel for the authoritative figure.

Reconciliation (rows 70–74)

Authoritative fund-level totals: ordinary CGT after intra-year capital-loss netting (s102-5 method, then s115-100 1/3 discount on the discountable residue), Division 296 tax payable, and any current-year net unused capital loss carried forward.

Comparison tearsheet

Print-ready landscape A4. Use as a client meeting handout or file note without editing. Order top to bottom:

- Header strip — fund, prepared by, date, version.
- Members & TSB strip.
- Headline cards — Div 296 tax under each scenario plus signed net effect.
- Per-scenario subtotals — Earnings, Ord CGT (unchanged), Div 296 tax, Total burden.
- Per-member breakdown — TSB and Div 296 tax for both scenarios.
- Per-asset detail — top 10 by $|\Delta \text{Div 296 tax}|$.

Caveats

Hold these in mind. Material; several work in opposing directions.

- **Prior-year carry-forward capital losses NOT modelled.** — Apply prior-year carry-forward outside the model.
- **Pension phase NOT modelled.** — Assumes 100% accumulation. Overstates Ord CGT for pension members.
- **Reset-OFF scenario is realised-only.** — Under enacted Div 296, no-reset earnings are assessed on year-on-year TSB movement (realised + unrealised). Comparison understates the no-reset burden.
- **Multi-member splits are TSB-proportional.** — Real funds use an actuarial certificate on time-weighted balances.
- **Wash sale / Part IVA risk.** — Pre-30 June 2026 disposals purely for tax sit in anti-avoidance territory (TR 2008/1, Part IVA).
- **Transaction costs not modelled.** — Brokerage, stamp duty, liquidity drag, market-timing excluded.
- **Sheet protection is tamper-evident, not tamper-proof.** — Passwordless. Prevents accidental overwrites only.

Troubleshooting

You see	What it means	Do this
Yellow 'Sample data preloaded' badge persists.	Sample input (P1/S1/L1 or seeded TSBs) still present.	Overwrite every sample cell on Inputs.
Red banner: proceeds without 30 Jun 2026 value.	Those rows excluded from every figure.	Fill column E, or clear column G.
Red banner: formulas in the register.	Non-values paste left live formulas in register cells.	Ctrl+Z to undo, then Paste-Special > Values.
TSB diagnostic banner is deep amber.	At least one member's TSB exceeds \$10m — 25% above-\$10m tier applies.	Read Comparison for impact. No input change.
Per-asset Ord CGT (col G) doesn't sum to Reconciliation Ord CGT.	Correct — loss netting at fund level (s102-5), not per asset.	Rely on Reconciliation.

Cheat sheet

Tear-off reference. Keep next to the workbook.

Inputs columns at a glance

- A · Asset code (free text)
- B · Asset name (free text)
- C · Original cost base (ordinary CGT basis — unchanged by reset)
- D · Current market value (context only)
- E · MV @ 30 Jun 2026 (load-bearing — Div 296 basis under reset)
- F · Valuation source / date
- G · Projected sale proceeds (blank → row excluded)
- H · Projected gain/loss (locked formula — do not edit)
- I · Held > 12 months? (drives 1/3 CGT discount)

Banners — colour, meaning, action

Colour	Means	Do this
Yellow	Sample data still loaded.	Overwrite every sample cell.
Red	Formulas in register (Ctrl+V used).	Ctrl+Z, Paste-Special > Values.
Red	Proceeds without 30 Jun 2026 value.	Fill col E or clear col G.
Amber	TSB > \$10m — 25% tier applies.	No action; read Comparison.

Keyboard tricks

- **Paste-Special > Values** — Ctrl+Alt+V then V — only safe paste into register.
- **Undo** — Ctrl+Z — recovers from a bad paste.
- **Word Navigation Pane (this guide)** — View → Navigation Pane.

Five caveats that change numbers materially

- Prior-year carry-forward losses — apply outside the model.
- Pension phase — not modelled (overstates Ord CGT for pension members).
- No-reset is realised-only — understates no-reset Div 296 burden.
- Multi-member split is TSB-proportional, not actuarial.
- Transaction costs (brokerage, stamp duty, liquidity) excluded.

Verifying the version

Notes tab → unhide rows immediately below the valuation log to see build_version, build_date, git_short_sha.